

How the Immediate Finance Arrangement Works

Your Situation

Your company is an operating company or an investment holding company. You and your corporation need permanent life insurance and you want to accumulate wealth through your corporation.

An option to consider – the Corporate Immediate Finance Arrangement

With this financial planning strategy, your corporation deposits funds into a permanent life insurance policy. Your corporation puts more money into the policy than what is required to cover the insurance and other policy costs. This excess creates significant cash value within the policy.

This strategy is designed to meet a need for permanent insurance protection while ensuring your corporation also has the investment funds it requires.

How does the Corporate Immediate Finance Arrangement work?

Your corporation purchases an exempt life insurance policy and deposits money into the policy, creating significant cash values. Your corporation assigns the policy to a bank as collateral for a line of credit and uses the borrowed funds to invest in a business or other property in order to produce income. Depending on the amount borrowed, the bank may require additional security.

This strategy assumes the collateral insurance deduction and the interest expense will be fully deductible from your corporation's taxable income in each year, where permitted.

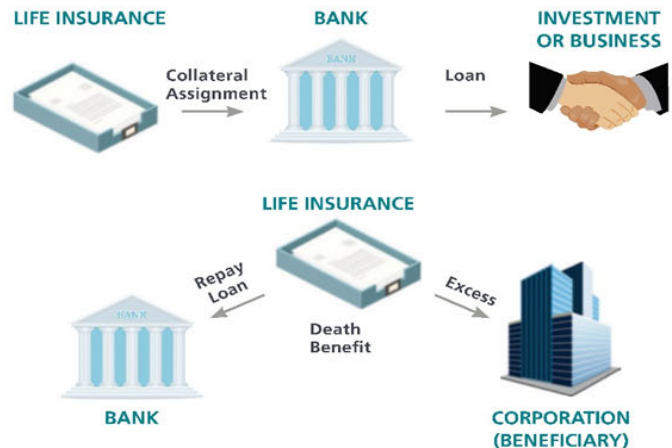
Your corporation pays the interest expense on the line of credit. Your corporation claims both the interest expense and the collateral insurance deduction as tax deductions from its current income, where permitted.

The tax savings that result from the deductions help offset the interest expense that your corporation pays each year.

At the end of each year, your corporation has the option to borrow an additional amount equal to the interest paid in the year less the tax savings realized from the deductions. This amount is used to invest in a business or property that produces income. The result of this process is that the line of credit balance will increase each year.

Depending on the structure of the loan, as the cash value in the life insurance policy grows, the need for extra collateral may decrease or the available line of credit may increase.

At death, the insurance proceeds repay the outstanding line of credit balance. Any excess amount is paid tax-free to your corporation as beneficiary of the life insurance policy.



Immediate Finance Arrangement

Dividend Scale	Current less 2%	Corporate Tax Rate	50.27%
First Year Deposit	\$240,877	Bank Loan Rate:	5.95%
Initial Death Benefit	\$5,000,000	CSV margined at	100.00%
This illustration assumes tax savings arise as a result of claiming a deduction for the loan interest.			
This illustration assumes tax savings arise as a result of claiming the collateral insurance deduction.			

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MANULIFE PAR LIFE INSURANCE PLAN							CORPORATE BANK LOAN			NET VALUES		
Yr	Age		Annual	Cash	Total	CDA	Annual	Outstanding	Additional	Net Cash	Net to	Loan to
	M	F	Deposit	Surrender	Death	Credit	Loan	Loan	Collateral	Flow	Corporation	CSV %
				Value	Benefit		Advance	Balance	Required		at Death	
1	45	45	240,877	154,343	5,408,745	5,170,301	240,877	255,209	112,074	0	5,153,535	165.35%
2	46	46	260,893	385,419	5,911,347	5,415,099	260,893	539,548	171,254	0	5,371,798	139.99%
3	47	47	294,233	635,247	6,568,634	5,781,829	294,233	867,813	258,406	0	5,700,821	136.61%
4	48	48	317,151	935,466	7,317,077	6,217,341	317,151	1,230,286	327,578	0	6,086,791	131.52%
5	49	49	310,347	1,243,987	8,033,294	6,628,056	310,347	1,596,501	391,683	0	6,436,793	128.34%
6	50	50	240,877	1,498,596	8,453,253	6,812,622	240,877	1,900,137	446,157	0	6,553,116	126.79%
7	51	51	240,877	1,768,411	8,887,640	7,012,285	240,877	2,212,827	493,796	0	6,674,813	125.13%
8	52	52	240,877	2,050,130	9,319,917	7,210,825	240,877	2,534,891	538,623	0	6,785,026	123.65%
9	53	53	240,877	2,348,648	9,767,015	7,425,295	240,877	2,866,558	575,455	0	6,900,457	122.05%
10	54	54	240,877	2,660,446	10,212,390	7,639,327	240,877	3,208,085	608,488	0	7,004,304	120.58%
11	55	55	0	2,745,681	9,796,340	7,233,470	0	3,304,515	620,927	0	6,491,824	120.35%
12	56	56	0	2,835,283	9,402,074	6,850,085	0	3,403,450	631,297	0	5,998,624	120.04%
13	57	57	0	2,913,614	9,041,099	6,500,704	0	3,505,135	657,245	0	5,535,964	120.30%
14	58	58	0	2,902,743	8,698,074	6,170,045	0	3,609,631	785,432	0	5,088,443	124.35%
15	59	59	0	2,896,011	8,383,032	5,868,191	0	3,716,984	912,192	0	4,666,049	128.35%
16	60	60	0	2,889,666	8,082,929	5,582,108	0	3,827,238	1,041,747	0	4,255,690	132.45%
17	61	61	0	2,886,837	7,805,645	5,319,262	0	3,940,445	1,170,676	0	3,865,200	136.50%
18	62	62	0	2,884,873	7,542,336	5,070,831	0	4,056,762	1,302,099	0	3,485,574	140.62%
19	63	63	0	2,886,891	7,300,908	4,844,733	0	4,176,255	1,432,627	0	3,124,653	144.66%
20	64	64	0	2,890,077	7,072,540	4,632,127	0	4,298,994	1,565,463	0	2,773,546	148.75%
21	65	65	0	3,061,450	7,281,427	4,858,166	0	4,425,053	1,515,115	0	2,856,374	144.54%
22	66	66	0	3,240,965	7,491,485	5,087,301	0	4,559,758	1,465,326	0	2,931,726	140.69%
23	67	67	0	3,423,602	7,690,122	5,307,075	0	4,698,708	1,416,784	0	2,991,414	137.24%
24	68	68	0	3,614,493	7,889,807	5,530,155	0	4,841,895	1,363,781	0	3,047,912	133.96%
25	69	69	0	3,813,801	8,090,516	5,756,792	0	4,989,447	1,306,274	0	3,101,069	130.83%
26	70	70	0	4,021,666	8,292,215	5,987,260	0	5,141,495	1,244,254	0	3,150,721	127.84%
27	71	71	0	4,232,237	8,482,372	6,209,276	0	5,298,176	1,184,376	0	3,184,196	125.19%
28	72	72	0	4,451,170	8,673,377	6,435,584	0	5,459,632	1,120,514	0	3,213,745	122.66%
29	73	73	0	4,678,516	8,865,185	6,666,516	0	5,626,008	1,052,769	0	3,239,177	120.25%
30	74	74	0	4,914,315	9,057,746	6,902,412	0	5,797,455	981,266	0	3,260,291	117.97%
31	75	75	0	5,158,572	9,251,003	7,143,658	0	5,974,126	906,170	0	3,276,877	115.81%
32	76	76	0	5,411,274	9,444,896	7,390,684	0	6,156,180	827,673	0	3,288,715	113.77%
33	77	77	0	5,672,400	9,639,361	7,643,948	0	6,343,783	745,982	0	3,295,578	111.84%
34	78	78	0	5,941,929	9,834,333	7,903,940	0	6,537,103	661,304	0	3,297,230	110.02%
35	79	79	0	6,219,887	10,029,747	8,171,125	0	6,736,314	573,808	0	3,293,434	108.30%

Immediate Finance Arrangement

Corporate Tax Rate	50.27%	Bank Loan Rate:	5.95%
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TAX SUMMARY										
Yr	Age		Lesser of Premiums and NCPI	Loan to Death Benefit Ratio	Collateral Insurance Deduction	Tax Savings (Insurance)	Annual Loan Interest	Tax Savings (Interest)	Income Required to Use Deductions	Total Tax Savings
1	45	45	2,434	4.72%	115	58	14,332	7,205	14,447	0
2	46	46	3,089	9.13%	282	142	30,708	15,437	30,990	7,263
3	47	47	3,675	13.21%	486	244	49,610	24,939	50,096	15,579
4	48	48	4,220	16.81%	710	357	70,505	35,443	71,215	25,183
5	49	49	4,846	19.87%	963	484	91,668	46,081	92,631	35,800
6	50	50	5,484	22.48%	1,233	620	109,324	54,957	110,557	46,565
7	51	51	6,152	24.90%	1,532	770	127,390	64,039	128,922	55,577
8	52	52	7,140	27.20%	1,942	976	145,995	73,392	147,937	64,809
9	53	53	8,249	29.35%	2,421	1,217	165,158	83,025	167,579	74,368
10	54	54	9,535	31.41%	2,995	1,506	184,892	92,945	187,887	84,242
11	55	55	10,193	33.73%	3,438	1,728	190,881	95,956	194,319	94,451
12	56	56	10,880	36.20%	3,939	1,980	196,619	98,840	200,558	97,684
13	57	57	11,594	38.77%	4,495	2,260	202,505	101,799	207,000	100,820
14	58	58	12,366	41.50%	5,132	2,580	208,556	104,841	213,688	104,059
15	59	59	13,188	44.34%	5,847	2,939	214,773	107,966	220,620	107,421
16	60	60	14,020	47.35%	6,638	3,337	221,161	111,177	227,799	110,906
17	61	61	14,439	50.48%	7,289	3,664	227,721	114,475	235,010	114,514
18	62	62	14,877	53.79%	8,002	4,023	234,456	117,861	242,458	118,139
19	63	63	15,330	57.20%	8,769	4,408	241,377	121,340	250,146	121,884
20	64	64	15,762	60.78%	9,581	4,816	248,487	124,915	258,068	125,749
21	65	65	0	60.77%	0	0	255,790	128,586	255,790	129,731
22	66	66	0	60.87%	0	0	263,291	132,356	263,291	128,586
23	67	67	0	61.10%	0	0	271,306	136,385	271,306	132,356
24	68	68	0	61.37%	0	0	279,573	140,541	279,573	136,385
25	69	69	0	61.67%	0	0	288,093	144,824	288,093	140,541
26	70	70	0	62.00%	0	0	296,872	149,238	296,872	144,824
27	71	71	0	62.46%	0	0	305,919	153,785	305,919	149,238
28	72	72	0	62.95%	0	0	315,241	158,472	315,241	153,785
29	73	73	0	63.46%	0	0	324,848	163,301	324,848	158,472
30	74	74	0	64.01%	0	0	334,747	168,278	334,747	163,301
31	75	75	0	64.58%	0	0	344,949	173,406	344,949	168,278
32	76	76	0	65.18%	0	0	355,460	178,690	355,460	173,406
33	77	77	0	65.81%	0	0	366,293	184,135	366,293	178,690
34	78	78	0	66.47%	0	0	377,455	189,747	377,455	184,135
35	79	79	0	67.16%	0	0	388,958	195,529	388,958	189,747
36	80	80	0	67.88%	0	0	400,811	201,488	400,811	195,529
37	81	81	0	68.64%	0	0	413,025	207,628	413,025	201,488
38	82	82	0	69.42%	0	0	425,611	213,955	425,611	207,628
39	83	83	0	70.24%	0	0	438,581	220,475	438,581	213,955
40	84	84	0	71.08%	0	0	451,947	227,194	451,947	220,475
41	85	85	0	71.96%	0	0	465,719	234,117	465,719	227,194
42	86	86	0	72.87%	0	0	479,912	241,252	479,912	234,117
43	87	87	0	73.82%	0	0	494,536	248,603	494,536	241,252